# MBA 700 / 701 - Compiled Exam Questions & Answers

*Merged from 5 source files: `700exam3` (Module 2 preview), `MBA 701 Exam 1` (Managerial Economics), `MBA 700 Modules 1-7 Practice Assessments` (text + a scanned image copy used to recover the input data tables), and `MBA 700 Week 3 Notes` (Receivables & Inventory).*

*Questions are grouped by source/topic; each group is numbered independently. ANS = answer.*

## Part A - MBA 700 Module 2: Financial vs. Managerial Accounting

A1. Audience of financial accounting? - ANS External users

A2. Audience of managerial accounting? - ANS Internal users; those who use the info to make important decisions

A3. Characteristics of managerial reports? - ANS Non-mandatory, detailed, and segmented

A4. Characteristics of financial reports? - ANS Mandatory, aggregated, and company-wide

A5. Time orientation of financial accounting? - ANS Past

A6. Time orientation of managerial accounting? - ANS Future

A7. T/F: Managerial accounting must follow US GAAP. - ANS False

A8. T/F: Financial accounting must follow US GAAP. - ANS True

A9. Examples of financial accounting audience? - ANS Owners (shareholders), banks/creditors, regulators

A10. Purpose of managerial accounting? - ANS Planning, controlling, decision making

A11. Which of the following does not represent an asset of a company? (a. Amounts owed to suppliers; b. Supplies held; c. Amounts receivable from customers; d. Equipment owned/used) - ANS a. Amounts owed to suppliers

A12. You can find the following in the statement of stockholders' equity: (a. Bonds payable; b. Net income; c. Accounts payable; d. Total assets) - ANS b. Net income

## Part B - MBA 701 Exam 1: Managerial Economics

B1. Manager - ANS Someone who directs resources to achieve a goal

B2. What does a manager do? - ANS Directs the efforts of others, purchases inputs used in production of the firm's output, directs decisions like product price and quality, and constructs incentives to induce maximal effort from employees

B3. Economics - ANS The science of making decisions in the presence of scarce resources

B4. Resources - ANS Anything used to produce a good or service or achieve a goal

B5. Why are decisions important in economics? - ANS Scarcity implies trade-offs

B6. Managerial economics - ANS The study of how to direct scarce resources in the way that most efficiently achieves a managerial goal

B7. Example of managerial economics decisions - ANS How many employees to hire and how to compensate them; how many products to produce and at what price; whether to make or buy components

B8. The 7 principles of effective managerial decision making - ANS (1) Identify goals and constraints; (2) recognize the nature and importance of profits; (3) understand incentives; (4) understand markets; (5) recognize the time value of money; (6) use marginal analysis; (7) make data-driven decisions

B9. What should a firm's overall goal be? - ANS To maximize profits

B10. Examples of some constraints? - ANS Available technology and prices of inputs used in production

B11. Accounting profit - ANS Total money from sales (revenue) minus the dollar cost of producing the goods/services

B12. Economic profit - ANS The difference between total revenue and total opportunity cost

B13. Opportunity cost - ANS The explicit cost of a resource plus the implicit cost of giving up its best alternative

B14. What is the role of profits? - ANS They signal to resource holders where resources are most highly valued by society

B15. What do changes in profits provide to resource holders? - ANS An incentive to alter their use of resources

B16. What do incentives impact within a firm? - ANS How resources are used and how hard workers work
B17. Two sides to every market transaction - ANS Buyer and seller
B18. Bargaining position of consumers/producers is limited by? - ANS Consumer-producer rivalry, consumer-consumer rivalry, and producer-producer rivalry
B19. T/F: Often a gap exists between when costs are incurred and when benefits are received. - ANS True
B20. Present value analysis - ANS Used by managers to properly account for the timing of receipts and expenditures
B21. What does present value analysis 1 evaluate? - ANS The present value of a single future value
B22. Equation for PV analysis 1 - ANS PV = FV / (1+i)^n  (i = interest rate/opportunity cost of funds; n = years in the future)
B23. PV analysis 1 (opportunity-cost form) - ANS PV = FV - OCW  (OCW = opportunity cost of waiting)
B24. What does present value analysis 2 evaluate? - ANS The present value of a stream of future values
B25. Equation for PV analysis 2 - ANS PV = $FV1/(1+i)^1 + FV2/(1+i)^2 + ... + FVn/(1+i)$?
B26. T/F: When the interest rate is 0, PV doesn't equal FV. - ANS False - PV equals FV when the interest rate is 0
B27. Net present value - ANS The present value of the income stream generated by a project minus the current cost of the project
B28. NPV equation - ANS NPV = $FV1/(1+i)^1 + ... + FVn/(1+i)$? - C0  (C0 = current cost)
B29. Profit maximization - ANS Maximizing the value of the firm, which is the present value of current and future profits
B30. Control variable of a managerial objective in marginal analysis - ANS Q
B31. How to denote total benefit - ANS B(Q)
B32. How to denote total cost - ANS C(Q)
B33. Marginal benefit MB(Q) - ANS The change in total benefits arising from a change in Q
B34. Marginal cost MC(Q) - ANS The change in total costs arising from a change in Q
B35. Marginal net benefits equation - ANS MNB(Q) = MB(Q) - MC(Q)
B36. What does the marginal principle say managers should do to maximize net benefits? - ANS Increase Q up to the point where MB = MC; at that level marginal net benefits are zero and nothing more can be gained
B37. Benefit structure equation (example) - ANS $B(Q) = 250Q - 4Q^2$
B38. Cost structure equation (example) - ANS $C(Q) = Q^2$
B39. Marginal benefit structure (example) - ANS MB(Q) = 250 - 8Q
B40. Marginal cost structure (example) - ANS MC(Q) = 2Q
B41. What value of Q makes MNB(Q) zero? - ANS 250 - 8Q = 2Q ? Q = 25
B42. Slope of a total value curve at a given point (control variable infinitely divisible) - ANS Marginal value at that point
B43. Slope of the total benefit curve at a given Q - ANS The marginal benefit of that level of Q
B44. Slope of the total cost curve at a given Q - ANS The marginal cost of that level of Q
B45. Slope of the net benefit curve at a given Q - ANS The marginal net benefit of that level of Q
B46. Incremental revenues - ANS The additional revenues that stem from a yes/no decision
B47. Incremental costs - ANS The additional costs that stem from a yes/no decision
B48. Thumbs-up decision - ANS When MB > MC
B49. Thumbs-down decision - ANS When MB < MC
B50. How does one obtain information on the demand function? - ANS Published studies, hire a consultant, econometric models, regression analysis
B51. Regression analysis - ANS A statistical technique that uses data on quantity, price, income, and other important variables
B52. True (population) regression model equation - ANS Y = a + bX + e  (a = intercept, b = slope, e = random error, mean zero)
B53. Least-squares regression line equation - ANS Y = a + bX  (a, b = least-squares estimates of a and b)
B54. What do the parameter estimates a and b represent? - ANS The values of a and b that result in the smallest

sum of squared errors between the line and the actual data

## Part C - MBA 700 Modules 1-7 Practice Assessments

### Module 1 - Accounting Equation & Financial vs. Managerial

C1. Calcu

| Assets | Liabilities | Owner's Equity |
|---|---|---|
| $32,000 | $17,000 | $15,000 |
| $168,700 | $22,400 | $146,300 |
| $17,500 | $16,830 | $670 |
| $562,700 | $232,000 | $330,700 |
| $382,170 | $256,900 | $125,270 |

C2. Calculate missing values in Revenues - Expenses + Gains - Losses = Net Income (Loss): - ANS

| Rev | Exp | Gains | Losses | Net Income |
|---|---|---|---|---|
| $1,813 | $1,595 | $181 | $109 | $290 |
| $147,640 | $146,095 | $0 | $2,248 | ($703) |
| $109,562 | $99,470 | $1,740 | $2,429 | $9,403 |
| $38,266 | $39,296 | $464 | $870 | ($1,436) |
| $1,264,835 | $1,242,643 | $15,950 | $0 | $38,142 |

C3. Indicate Financial vs. Managerial accounting: - ANS

- Directed at external users (investing, credit) ? Financial
- Principal users are the organization's managers ? Managerial
- Key focus is on the entity as a whole ? Financial
- Rules and principles are very flexible ? Managerial
- Info usually available after an independent audit ? Financial

C4. How does each item affect equity (increase / decrease / no impact)? - ANS Expenses ? Decrease; Assets ? No Impact; Gains ? Increase; Liabilities ? No Impact; Dividends ? Decrease

C5. True/False set #1: - ANS

- Managerial reports must comply with FASB rules ? False
- Financial reports are typically general-purpose ? True
- Financial pertains to the entity as a whole, managerial to subunits ? True
- Main users of financial accounting info are internal users ? False
- Managerial reports are prepared on an as-needed basis ? True
- Financial reports often must be audited annually by an independent auditor ? True

C6. True/False set #2: - ANS

- Financial reports are not released to external users ? False
- Managerial reports are not used by employees inside the org ? False
- Managerial reports include only monetary information ? False
- Financial reports are monetary in nature ? True
- Nonmonetary results must be converted to monetary units for managerial reporting ? False
- Tax authorities/government regulators are external users of financial info ? True

C7. Given the accounts (Revenue $64,000; Misc Exp $19,700; Rent Exp $5,100; Wages Exp $16,450...), calculate Net Income. (a. $17,750 b. $8,800 c. $22,750 d. $13,260) - ANS c. $22,750

C8. Pelican, Inc. had revenues $395,000, expenses $155,000, dividends $54,000. Which statement is true? - ANS Net income for the current year totaled $240,000

C9. Banigo Corp: total assets increased $72,600, total liabilities increased $40,900, capital stock increased $5,000, no dividends. Net income/loss for 2016? - ANS Net income of $26,700

C10. Given the accounts (Cash $27,277; A/R $366,665; Retained Earnings $663,942; A/P $806,928; Rent Exp $2,739; Interest Exp $885,600; Common Stock $200,087), calculate Total Equity. (a. $891,306 b. $227,364 c.

$864,029  d. $200,087) - ANS c. $864,029

## Module 2 - Journal Entries, T-Accounts & the Accounting Equation

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invoice; N

C11. Journal entry - Nov 1 - ANS Dr Accounts Receivable $12,000 / Cr Revenue $12,000

C12. Journal entry - Nov 9 - ANS Dr Office Furniture $4,000, Dr Office Supplies $150 / Cr Accounts Payable $4,150

C13. Journal entry - Nov 15 - ANS Dr Accounts Payable $4,150 / Cr Cash $4,150

C14. Journal entry - Nov 23 - ANS Dr Advertising Expense $350 / Cr Accounts Payable $350

C15. Journal entry - Nov 30 - ANS Dr Wages Expense $2,500 / Cr Cash $2,500

C16. T-accounts: lawyer receives $5,000 client deposit; same day pays $1,000 rent. - ANS Cash: Dr $5,000, Cr $1,000; Unearned Revenue: Cr $5,000; Rent Expense: Dr $1,000

C17. T-accounts: Mary invests $50,000, borrows $20,000 from bank, uses $60,000 to buy office equipment. - ANS Cash: Dr $50,000, Dr $20,000, Cr $60,000; Common Stock: Cr $50,000; Note Payable: Cr $20,000; Office Equipment: Dr $60,000

C18. Impact on Assets = Liabilities + Equity: - ANS $10,000 sales on account ? +assets +equity; Paid $6,000 rent with cash ? -assets -equity; Borrowed $20,000 ? +assets +liabilities; Owner invests $70,000 ? +assets +equity

C19. Adjusted trial balance (totals) - ANS Total debits = Total credits = $168,700 (Cash $56,500; A/R $45,750; Prepaid Rent $8,750; A/P $22,400; Common Stock $40,000; Revenue $106,300; Admin Expense $57,700)

C20. Impact of adjustments on A = L + E: - ANS Prepaid Insurance $5,000?$3,600 ? -assets -equity; Interest Payable $5,300?$6,800 ? +liabilities -equity; Prepaid Insurance $18,500?$6,300 ? -assets -equity; Inventory $500?$220 ? -assets -equity

## Module 3 - Cost-Volume-Profit (CVP)

C21. Ma
dollars? -

C22. Lemon Product Line (Unit Sales 2,500; Sales Rev $85,000; VC/unit $17; Fixed $12,521): - ANS Operating Income $29,979; Unit CM $17; BE in units 736.53; Margin of Safety in units 1,763.47

C23. Lemon Product Line (Unit Sales 3,461; Sales Rev $148,823; VC/unit $12.90): - ANS Contribution Margin $104,176.10; Operating Income $48,213.10; BE in dollars $79,947.14; Margin of Safety in units 1,601.76

C24. Product sells for $150 with $60 variable cost. Contribution margin per unit? (a. $60  b. $90  c. $40  d. $150) - ANS b. $90

C25. Evencoat Paint (2019) cost data - Jan 110,000 gal/$70,700; Feb 68,000/$66,800; Mar 71,000/$67,000; Apr 77,000/$68,100; May 95,000/$69,200. High-low cost equation? (a. y = $46,000 + $0.14x  b. y = $60,000 + $0.10x  c. y = $55,700 + $0.21x  d. y = $42,000 + $0.07x) - ANS b. y = $60,000 + $0.10x (high-low: ($70,700-$66,800)/(110,000-68,000) = $0.0929 ~ $0.10/gal; fixed ~ $60,000)

C26. Sweater, Inc.: high-low cost equation? (a. y = $112.62 + $0.98x  b. y = $88.52 + $1.16x  c. y = $103.96 + $1.10x  d. y = $263.11 + $0.99x) - ANS b. y = $88.52 + $1.16x

C27. CM per unit is $25; activity rises 200 ? 350 units. Increase in total CM? (a. $1,250  b. $5,000  c. $3,750  d. $8,750) - ANS c. $3,750

C28. Waskowski sells 3 products (A,B,C) sales mix 3:2:1. Sales price per composite unit? (a. $35  b. $20  c. $17  d. $25) - ANS a. $35

C29. Fixed costs $6,000/month, price $200/unit, variable costs = 70% of price. Break-even units? (a. 100  b. 200  c. 180  d. 2,000) - ANS a. 100 units

C30. Maple Enterprises (price $75, VC $30, fixed $22,500): units to reach target profit of $45,000? (a. 1,500  b. 750  c. 1,670  d. 600) - ANS a. 1,500 units

## Module 4 - Job-Order Costing

C31. Job
Cr WIP $

C32. Job 1 cost sheet (DM $375; DL 18 hrs @ $23 = $414; OH 18 hrs @ $20 = $360). Total cost? - ANS $1,149

C33. Job 2 cost sheet (DM $405; DL 29 hrs @ $23 = $667; OH 29 hrs @ $20 = $580). Total cost? - ANS $1,652

C34. Burnham Industries costs - Direct materials $2,000; Direct labor $3,000; Factory depreciation $3,500; Factory utilities $750; CEO's salary $4,000. Prime cost and conversion cost? - ANS Prime cost $5,000 (DM $2,000 + DL $3,000); Conversion cost $7,250 (DL $3,000 + factory OH $3,500 + $750)

C35. Predetermined OH rate ($750,000 estimated OH): - ANS 60,000 DLH ? $12.50/DLH; $1,500,000 DL$ ? $0.50/DL$; 100,000 machine hrs ? $7.50/machine hr

C36. Jobs 13/14/15, OH applied at $1.25 per DL$. Total cost each? - ANS Job 13 $16,020; Job 14 $10,129; Job 15 $11,831

C37. Job 10 completed, Job 20 in production - Job 10: DM $765, DL 75 hrs/$1,575, MOH $60(/hr basis), Total $2,400; Job 20: DM $145, DL 113 hrs/$2,373, MOH $90, Total $2,608. - ANS WIP balance $2,608; Finished Goods balance $2,400; Predetermined OH rate $0.80/DLH

C38. Actual vs. applied overhead (rate $23.92/machine hr): - ANS Actual OH $597,300; Applied OH $598,000

C39. Job 7: $2,800 raw materials (¼ to Job 7); 10 labor hrs @ $300; factory depreciation $1,750; OH applied @ $200/labor hr. Cost assigned to Job 7? - ANS Materials $700 + Labor $3,000 + OH $2,000 = $5,700

C40. Job 1 completed, Job 2 in production - Job 1: DM $375, DL 231 hrs/$5,313, MOH $4,620, Total $10,308; Job 2: DM $405, DL 85 hrs/$1,955, MOH $1,700, Total $4,060. - ANS WIP balance $4,060; Finished Goods balance $10,308; Predetermined OH rate $20/DLH

## Module 5 - Relevant Costs & Short-Term Decisions

C41. Zer
15,000 u
(relevant

C42. Shelby Industries (cap 45,000; order 1,200 @ $26; saves $1.50 packaging; VC $27 ? $25.50). Minimum sales price to avoid a loss? - ANS $25.50/unit (Total $30,600)

C43. Country Diner: 40,000 cookies/yr; cost to make per cookie - Materials $0.30, Labor $0.30, Variable OH $0.20, Fixed OH $0.10; supplier offers $0.85 each; 10% of fixed OH avoidable. Make or buy? - ANS Make - relevant cost to make $32,400 vs. buy $34,000 ? buying causes a $1,600 decline in profit

C44. Oat Treats: Simmons offers 20,000 bars for $27,500; current costs - DM $14,000, DL $6,000, MOH $8,000 (of which $3,000 variable, rest fixed). Make or buy? - ANS Make - relevant cost $23,000 (DM $14,000 + DL $6,000 + variable MOH $3,000) vs. buy $27,500 ? buying causes a $4,500 decline in profit

C45. Red Chocolate discontinues mint line (CM $143,000; fixed $240,000; can avoid 2/3 of fixed). Effect on profit? (a. -$160,000 b. +$143,000 c. -$17,000 d. +$17,000) - ANS c. a decrease of $17,000

C46. Youngstown discontinues roofing (CM $65,000; fixed $70,000; avoid half). Effect on profit? (a. +$5,000 b. -$30,000 c. -$5,000 d. +$30,000) - ANS c. a decrease of $5,000

C47. Mallory's: DVD players dropped $45?$38; WIP units cost $30; sell now for $22 or rework $11 to sell at $38. Financial impact if processed further? (a. $5 profit b. $16 profit c. $3 loss d. $12 loss) - ANS a. $5 per unit profit

C48. Products E and F in batches of 20 (CM/batch: E $450, F $340; machine set-ups needed per batch shown in source); only 12,000 set-ups/period; unlimited demand. Differential profit from producing E instead of F? (a. $216,000 b. $204,000 c. $12,000 d. $54,000) - ANS a. $216,000

C49. Jansen Crafters (cap 50,000; selling 44,000 @ $32; order 1,200 @ $26; no $1.50 packaging; VC $27; fixed $320,000 unaffected). Profit effect of accepting? (a. -$1,200 b. +$31,200 c. +$600 d. +$7,200) - ANS d. Profits will increase by $7,200

C50. Bridget Youhzi - drive (196 mi @ $0.50, hotel $101, per diem $35) vs. fly (fare $300, rental $39, parking $25, per diem $35). Relevant costs? - ANS Driving $297.00; Flying $364.00 (driving is more economical)

## Module 6 - Budgeting

C51. Dre
payment

C52. Halifax Shoes (30% cash; credit collected 65%/25%/5%; sales Jun $75k, Jul $65k, Aug $90k). Cash collected in August? - ANS Cash sales $27,000 + month-of $40,950 + month-after $11,375 + two-months-after $2,625 = $81,950

C53. Cold X, Inc. flexible budget (DM $2, DL $3, MOH $1 per unit; fixed $35,000). Budgeted amounts for 20,000 and 25,000 units? - ANS 20,000 ? $155,000 ($120,000 + $35,000); 25,000 ? $185,000 ($150,000 + $35,000)

C54. Flexible budget for 17,000 units (from 10,000 & 15,000 data). Total? - ANS Expense A $25,500 + B $21,000 + C $43,000 = $89,500

C55. Navigator (GPS $50; 5,000 units Q1, +5%/quarter). Year-1 sales budget? - ANS Units: 5,000 / 5,250 / 5,513 / 5,789; Dollars: $250,000 / $262,500 / $275,625 / $289,450; Total $1,077,575

C56. One Device labor budget: DL 2.2 hrs/unit, $11.50/hr, total DL budget $834,900. Units in production budget? - ANS Labor cost/unit $25.30 ? 33,000 units

C57. One Device production budget (sales Jan 500, Feb 800, Mar 450, Apr 550, May 600; ending inv = 20% of next month; beginning Jan = 100). Required production Jan-Apr? - ANS Jan 730, Feb 470, Mar 560, Apr 670

C58. Barnstormer (accessories $20; 120,000 units Q1, +7%/quarter). Year-1 sales budget? - ANS Units: 120,000 / 128,400 / 137,388 / 147,005; Dollars: $2,400,000 / $2,568,000 / $2,747,760 / $2,940,100; Total $10,655,860

C59. Rehydrator production budget (sales Jan 3,000, Feb 2,000, Mar 2,500, Apr 2,700, May 2,900; ending inv = 20% next month; beginning Jan = 600). Required production Jan-Apr? - ANS Jan 2,800, Feb 2,100, Mar 2,540, Apr 2,740

C60. Power Enterprises direct materials: planned production $890,250 + desired ending inv $105,300 - beginning inv $101,200. Purchases required? - ANS $894,350

### Module 7 - Time Value of Money & Capital Budgeting

C61. Fut
$243,644

C62. Julio Co. machine: $20,000 annual savings for 10 yrs, sold for $50,000 at end, 9% rate. Total PV? - ANS PV of savings $128,353.15 + PV of final sale $21,120.54 = $149,473.69

C63. Project B costs $5,000; inflows $500/$1,200/$2,000/$2,500/$2,000 over yrs 1-5; 8% discount. NPV? - ANS $1,278.01

C64. Consolidated Aluminum: machine $308,000; cash flows $88k/$92k/$91k/$72k/$71k. IRR? - ANS 11.28%

C65. Mini-mart freezer: investment $300,000; incremental revenues $200,000; incremental expenses (incl. depreciation) $125,000; no salvage. Accounting rate of return (ARR)? - ANS 25.00% ($75,000 income / $300,000) (confirmed against the source answer key)

C66. Invest $12,000 today - future value: - ANS @9% / 10 yr ? $28,408.36; @12% / 8 yr ? $29,711.56; @15% / 14 yr ? $84,908.47; @18% / 19 yr ? $278,573.23

C67. Project Y costs $8,000; inflows $1,500/$2,000/$2,500/$3,000/$2,000; 8% discount. NPV? - ANS $654.15

C68. Garnette Corp: machine $342,000; cash flows $99k/$88k/$92k/$87k/$72k. IRR? - ANS 9.28%

C69. Which transaction requires the PV of an annuity due formula? (a. Falcon leases a building 8 yrs, payments at the beginning of each year; b. Compass note repaid in 4 yrs; c. Bahwat lump-sum deposit; d. NYC leases a car, payments at end of each year) - ANS a. Falcon Products (payments at the beginning of each period)

C70. Grummet acquires a lathe (cash price $80,000; pays $23,500 at end of each of 4 yrs). Total interest paid over the loan? (a. $94,000 b. $80,000 c. $23,500 d. $14,000) - ANS d. $14,000 ($23,500 x 4 = $94,000 - $80,000)

## Part D - MBA 700 Week 3: Receivables & Inventory

D1. ABC Co. has Sales Revenue $4M in 2018, $0.5M Sales Returns, $0.25M Sales Allowances. Net Sales on the income statement? - ANS $3.25 million

D2. Sales Return is a(n) _____ account. - ANS Contra revenue

D3. T/F: A sales allowance is recorded as a debit to A/R and a credit to Sales Allowances. - ANS False

D4. XYZ Inc. shipped the wrong shade of paint; customer keeps it for a 30% price reduction. This is an example of a: - ANS Sales Allowance

D5. When can Delta Airlines recognize revenue for a SEA?SLC trip? - ANS When you and your belongings safely arrive at SLC

D6. T/F: The Allowance for Uncollectible Accounts is a contra asset account representing A/R we do not expect to collect. - ANS True

D7. Company is owed $10,000 but expects $1,000 won't be collected. A/R reported on the balance sheet at? -

ANS $9,000 (net amount)

D8. T/F: Under the allowance method, writing off A/R as an actual bad debt records an expense. - ANS False

D9. Journal entry to write off A/R (customer can't pay)? - ANS Dr Allowance for Uncollectible Receivables / Cr Accounts Receivable

D10. Inventory is a(n) _____; Cost of Goods Sold is a(n) _____. - ANS Asset; Expense

D11. COGS formula? - ANS COGS = Beginning Inventory + Net Purchases - Ending Inventory

D12. Baker Co.: beginning inventory $12,000, purchases $150,000, ending inventory $20,000. COGS? - ANS $142,000

D13. With rising prices, the FIFO assumption leads to? - ANS Lower COGS, higher ending inventory value, higher net income

D14. With rising prices (inflation), the LIFO assumption leads to? - ANS Lower ending inventory value, higher COGS, lower net income and income taxes

D15. Choice of inventory cost-flow assumption affects? - ANS COGS, net income, and inventory

D16. The lower-of-cost-and-NRV rule causes losses in inventory value to be recognized when? - ANS In the period when the value of inventory declines below cost

D17. ABC purchased 100 food processors in 2019; 50 unsold at year-end; cost $120, now sells for $100. Adjusting entry? - ANS Dr COGS $1,000 (write inventory down 50 x $20)

D18. ABC Co. had $8,000 A/R at 12/31/19; estimates $2,000 bad debt and records it. Impact on financial statements? - ANS Net income reduced by $2,000 and net receivables on the balance sheet reduced by $2,000

D19. Horne sold $4,000 merchandise on account to Sperling (cost $2,500). Record revenue. - ANS Dr Accounts Receivable $4,000 / Cr Sales Revenue $4,000

D20. ...Record cost of goods sold. - ANS Dr COGS $2,500 / Cr Inventory $2,500

D21. Sperling returned $500 merchandise (cost $300); Horne issued a credit memo. Record the return. - ANS Dr Sales Returns & Allowances $500 / Cr Accounts Receivable $500

D22. ...Record restore inventory. - ANS Dr Inventory $300 / Cr COGS $300

D23. Horne received amount due from Sperling. - ANS Dr Cash $3,500 / Cr Accounts Receivable $3,500

D24. FIFO vs. LIFO COGS/ending inventory (Jan exercise): - ANS Jan 9 COGS - FIFO $80, LIFO $90; Jan 24 COGS - FIFO $70, LIFO $80; Jan 31 Ending Inventory - FIFO $30, LIFO $10

D25. Sather Ltd. (12/31/15): A/R $147,000; Allowance for Doubtful Accts $3,000; Sales $750,000; estimate uncollectibles at 2% of sales. Adjusting entry? - ANS Dr Bad Debt Expense $15,000 / Cr Allowance for Doubtful Accounts $15,000

D26. Same data: balance in Allowance for Doubtful Accounts after posting the adjusting entry? - ANS $18,000 ($3,000 + $15,000)

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